

15. Module 8: Payroll Processing and Compensation Management System

15.1 Introduction

The Payroll Processing and Compensation Management System shall ensure accurate, transparent, consistent, and compliant payroll processing across all employee lifecycle events. The system shall handle complex scenarios such as mid-month changes, location-based benefits, role changes, disciplinary deductions, and temporary assignments without manual intervention.

15.2 Purpose

The purpose of the Payroll Module shall be to provide accurate and compliant payroll calculations across all scenarios, enforce automated proration logic, maintain a single source of truth, and provide comprehensive audit trails. The system shall reduce dependency on offline spreadsheets and manual adjustments.

15.3 Business Rules

The Payroll Module shall operate under the following business rules:

- **Effective Date Driven:** Every payroll-related change shall be applied strictly based on Approved Effective Date.

- **Automatic Proration:** When change occurs within payroll period, system shall split calculation and compute earnings proportionally.
- **Single Source of Truth:** All payroll input shall originate exclusively from Approved HR Actions.
- **Audit Trail:** Every change shall be recorded with Timestamp, Initiator ID, Approver ID, Previous Value, New Value.
- **Regulatory Compliance:** All calculations shall comply with tax laws and pension regulations.
- **Acting Allowance:** Month 1 (No payment), Month 2-6 (Pay allowance), Month 7+ (Stop payment).
- **Cut-Off Enforcement:** No modification after Payroll Cut-Off Date; Override requires formal audited workflow.

15.4 Functional Requirements

FR ID	Requirement	Description
Core Principles		
FR-PAY-001	Effective Date Processing	System shall apply every payroll-related change strictly based on Approved Effective Date.
FR-PAY-002	Automatic Proration	System shall automatically split payroll calculation and compute earnings and deductions proportionally.
FR-PAY-003	Single Source of Truth	All payroll input data shall originate exclusively from Approved HR Actions.
FR-PAY-004	Audit Trail	Every change shall be recorded with Timestamp, Initiator ID, Approver ID, Previous Value, New Value.
Transfer-Related Payroll Adjustments		
FR-PAY-005	Effective Date Capture	System shall capture and enforce exact Transfer Effective Date.
FR-PAY-006	Period Segmentation	System shall divide payroll period into Pre-Transfer and Post-Transfer segments.
FR-PAY-007	Hardship Allowance Adjustment	System shall automatically identify applicable Hardship Allowance Rate based on Location Code.
FR-PAY-008	Hardship Proration	System shall prorate Hardship Allowance based on Number of Days in each location.

FR-PAY-009	Hardship Allowance Audit History	System shall maintain complete history of hardship allowance eligibility, rates, changes, and effective dates.
FR-PAY-010	Statutory Deduction Recalculation	System shall recalculate Tax and Pension based on Adjusted Total Gross Earnings.
FR-PAY-011	Tax Exemption Validation	System shall automatically revalidate eligibility upon transfer to new location.
Mid-Month Joiner Processing		
FR-PAY-012	Proration Rules	System shall calculate Base Salary and Allowances for Actual Number of Days Worked.
FR-PAY-013	Deduction Calculation	System shall calculate Income Tax based on Prorated Gross Earnings.
FR-PAY-014	Pension Contribution	System shall calculate Pension Contributions proportionally based on prorated earnings.
Promotion Management		
FR-PAY-015	Salary and Benefit Update	Upon promotion approval, system shall automatically update Salary, Grade, and Related Benefits.
FR-PAY-016	Comparison View	System shall display comparison of Previous and New Salary and Benefits.
FR-PAY-017	Mid-Month Proration	System shall calculate earnings using Old Salary Structure for days before effective date and New Salary Structure for days after.
FR-PAY-018	Promotion History	System shall maintain complete Promotion History Record.
Demotion Management		
FR-PAY-019	Benefit Reduction	System shall automatically reduce Benefits and Related Allowances based on new grade.
FR-PAY-020	Mid-Period Proration	System shall apply mid-period proration logic for demotions during active payroll cycle.
FR-PAY-021	Deduction Recalculation	System shall recalculate Tax and Pension based on reduced earnings schedule.

FR-PAY-022	Demotion Record	System shall maintain immutable Demotion Record for audit purposes.
Discipline and Penalty Deduction		
FR-PAY-023	Automated Penalty Application	System shall support Automated Deduction of Penalties from payroll.
FR-PAY-024	Penalty Configuration	System shall support configurable parameters: Violation Type, Calculation Method, Effective Date, Approval Status.
FR-PAY-025	Tax Treatment	System shall apply correct Tax Treatment Logic based on bank policy.
Acting Allowance Management		
FR-PAY-026	Eligibility Restriction	System shall restrict Acting Allowance to employees formally assigned to Managerial Role in Acting Capacity.
FR-PAY-027	Duration Tracking	System shall automatically track Duration of acting assignment.
FR-PAY-028	Payment Schedule	System shall enforce: Month 1 (No payment), Month 2-6 (Pay allowance), Month 7+ (Stop payment).
Cross-Cutting Controls		
FR-PAY-029	Retroactive Adjustments	System shall support Backdated Changes and automatically calculate Arrears and Recoveries.
FR-PAY-030	Cut-Off Enforcement	System shall prevent modification of payroll data after Payroll Cut-Off Date.
FR-PAY-031	Exception Handling	Post-cut-off changes shall require formal audited Override Workflow.
FR-PAY-032	Multi-Tier Approval	System shall enforce: Initiation (HR Accountant) → Verification (Senior Payroll Controller) → Final Approval (People Service and Reward Division Manager).
FR-PAY-033	Conflict Resolution	System shall include predefined Priority Matrix for concurrent events.
FR-PAY-034	Payroll Simulation	System shall provide Payroll Simulation feature to preview financial impact.

FR-PAY-035	Payroll Change Log	System shall generate a detailed change log for all payroll-affecting transactions including transfers, promotions, demotions, acting assignments, disciplinary deductions, and retroactive adjustments.
FR-PAY-036	Payroll Exception Report	System shall generate an exception report identifying employees with unusual payroll variances, missing master data, unresolved deductions, or pending approval actions before payroll finalization.
FR-PAY-037	Bonus and Increment Proration	System shall calculate prorated bonus and salary increment amounts when the effective date occurs during an active payroll period